Moody's Corporation Reports Results for Fourth Quarter and Full Year 2002

NEW YORK, Feb 4, 2003 -- Moody's Corporation (NYSE:MCO) today announced results for the fourth quarter and full year 2002.

Summary Results for Fourth Quarter and Full Year 2002

Moody's revenue for the three months ended December 31, 2002 totaled $271.9 million, an increase of 23% from $220.9 million for the same period of 2001. Reported revenue included $16.0 million related to KMV, which Moody's acquired on April 12, 2002. Excluding KMV's revenue, fourth quarter 2002 revenue was $255.9 million, up 16% year-over-year. Fourth quarter operating income of $129.0 million rose 16% from $111.0 million in the same period of 2001. Net income for the fourth quarter of 2002 was $69.8 million, an increase of 19% from $58.8 million in the prior year quarter. Diluted earnings per share for the fourth quarter of 2002 were $0.45 compared with $0.37 for the fourth quarter of 2001, an increase of 22%.

Revenue for full year 2002 totaled $1,023.3 million, rising 28% from $796.7 million for 2001. Excluding KMV, revenue for 2002 was $981.2 million, up 23% from the prior year. Operating income of $538.1 million for 2002 was up 35% from $398.5 million for 2001. Net income for 2002 was $288.9 million, an increase of 36% from $212.2 million for 2001. Diluted earnings per share for 2002 were $1.83, an increase of 39% from $1.32 for 2001.

John Rutherfurd Jr., President and Chief Executive Officer of Moody's Corporation said, "Moody's produced outstanding results in 2002 after very strong growth in 2001. Moody's Investors Service ("MIS") achieved significant revenue growth in most ratings sectors -- including global structured finance, European ratings, and U.S. public finance - as well as in global research. In addition, Moody's KMV ("MKMV") had excellent growth, exceeding our projections at the time of acquisition. Our results reflect our success in capitalizing on growth areas in the global debt capital markets as well as creating the leading quantitative credit assessment business, and demonstrate the talent and dedication of our employees throughout the world."

Fourth Quarter 2002

Moody's fourth quarter 2002 revenue reflected strong gains in several sectors of the ratings business compared with the prior year period. Ratings revenue totaled $216.8 million for the fourth quarter, a 14% increase from $189.9 million for the fourth quarter of 2001. Research revenue grew 31% to $25.6 million in the quarter, reflecting increased customer focus on credit risk and strong growth in licensing of Moody's data to third party distributors. Overall, activity in the financial markets for MIS was consistent with the outlook we provided at the end of the third quarter: continued strength in global structured finance, U.S. public finance, and global research, and relative weakness in U.S. corporate finance. Moody's KMV reported revenue of $29.5 million in the fourth quarter; excluding the impact of KMV, revenue in the business was $13.5 million, up 17% from the fourth quarter of 2001.

Within the MIS ratings business, global structured finance revenue totaled $103.3 million for the fourth quarter of 2002, an increase of 30% from $79.4 million a year earlier. In the U.S., structured finance revenue continued to benefit from robust year-over-year volume increases in residential mortgage-backed securities and good growth in the credit derivatives, commercial mortgage-backed and asset-backed sectors. International structured finance revenue rose more than 40% year-over-year reflecting continued strong secular growth in Europe and Japan, the two largest structured finance markets outside the U.S. Global corporate finance revenue of $53.9 million for the fourth quarter was down 5% from $56.5 million for the year-ago quarter. This decline was the result of lower issuance in both the U.S. and Europe reflecting weak business investment and slower refinancing activity. Revenue from global financial institutions and sovereigns was $37.1 million for the fourth quarter of 2002, an increase of 3% from the fourth quarter of 2001 as growth in relationship-based revenues more than offset the effect of a moderate decrease in issuance during the quarter. U.S. public finance revenue grew 25% to $22.5 million for the fourth quarter of 2002, reflecting the favorable interest rate environment and lower pay-as-you-go financing by municipal borrowers.

Moody's U.S. revenue totaled $175.4 million for the fourth quarter of 2002, an increase of 18% from $148.2 million in the fourth quarter of 2001. Excluding the impact of KMV, Moody's U.S. revenue was $168.5 million, up 14% from the year-earlier period. For MIS, the increase in U.S. revenue was driven by robust growth in structured finance and public finance ratings and in research sales. MKMV also posted strong year-over-year revenue growth.

Moody's international revenue of $96.5 million for the fourth quarter of 2002 was 33% higher than the prior year period. International revenue accounted for 35% of Moody's total for the quarter, up from 33% for the fourth quarter of 2001. Excluding the impact of KMV, international revenue was $87.4 million, 20% higher than the fourth quarter of 2001. MIS had robust results in European and Japanese structured finance ratings as well as strong growth in its research sales.

Total operating expenses were $142.9 million for the fourth quarter, 30% higher than the same period of 2001. Moody's fourth quarter 2002 operating margin was 47% compared with 50% for the fourth quarter of 2001. The fourth quarter 2002 margin reflected the impact of several expenses not incurred in the prior year period. These include investment spending on enhanced ratings practices including the hiring of specialists in the areas of accounting, risk transference and corporate governance; product development; technology initiatives; and the settlement of a patent licensing matter and costs related to management succession at MKMV.

Moody's operating margin for the fourth quarter of 2002 was 7% lower than the margin in the first nine months of the year. Expenses resulting in the reduced margin included a $6 million contribution to the Moody's Foundation, which was established in 2001 to carry out philanthropic activities on behalf of Moody's Corporation, as well as the items noted above.

Full Year 2002

Revenue at Moody's Investors Service for 2002 was $941.8 million, an increase of 23% from 2001. MIS ratings revenue was $848.2 million in 2002, up 22% from $694.4 million for 2001. This growth was primarily driven by strength in U.S. and European structured finance, global financial institutions, and U.S. public finance. Global research revenue was $93.6 million, 31% higher than in 2001. For Moody's KMV 2002 revenue totaled $81.5 million compared to $30.8 million for 2001; excluding KMV, revenue for the business was $39.4 million for 2002, an increase of 28% over 2001.

For the year, Moody's U.S. revenue was $680.3 million, an increase of 21%. Excluding KMV, U.S. revenue was $661.3 million, 18% higher than the previous year. Moody's international revenue rose 45% in 2002 to $343.0 million and increased 36% excluding KMV. International revenue was 34% of Moody's total revenue in 2002, up from 30% in 2001.

Share Repurchase Program

During the fourth quarter of 2002, Moody's repurchased 5.0 million shares at a total cost of $227 million, including 400,000 shares to offset the issuance of shares under employee stock plans. Since becoming a public company in October 2000 and through the end of 2002, the company repurchased 19.5 million shares at a total cost of $709.3 million, including 6.0 million shares to offset shares issued under employee stock plans. Management continues to anticipate completing the current $450 million share repurchase authorization by mid-2004.

As planned, Moody's funded the second quarter acquisition of KMV with a combination of cash on hand and borrowings from its short-term bank credit facilities, which were subsequently repaid. Moody's has since borrowed under its bank credit facilities to fund share repurchases, and has benefited from favorable short-term borrowing costs. Management intends to pursue long-term financing when it is appropriate in light of cash requirements for share repurchase and other strategic opportunities, which will result in higher financing costs. At year-end 2002, Moody's had $107 million of outstanding borrowings under its bank credit facilities, in addition to the $300 million of long-term financing that was put in place at the Company's spin-off from The Dun & Bradstreet Corporation.

Outlook for Full Year 2003

Our outlook for 2003 takes into consideration the current regulatory environment both within and outside the United States. The SEC recently published a report on rating agencies pursuant to the Sarbanes-Oxley Act. Ray McDaniel, president of Moody's Investors Service, commented, "In our view the SEC's report reflects the importance of ratings in the marketplace and asks questions that are appropriate. We look forward to working with the SEC and the Congress on these issues." Based on management's current assessment, Moody's does not believe that regulatory action will have a material effect on the Company's 2003 outlook. However, changes in the competitive structure of the ratings industry possibly resulting from additional recognized rating agencies could have an effect in the future.

We are providing our outlook for 2003 at a time of significant global macroeconomic and geopolitical uncertainty. The inherent difficulty in predicting changes in the global environment, and the timing of such changes, creates important potential variance in our outlook.

We recognize the difficulties in forecasting future results; nevertheless, as we announced at the end of the third quarter, we continue to expect low double digit percent growth in reported earnings per share in 2003, before the impact of expensing stock options. In MIS, we anticipate moderate growth in global structured finance revenue in 2003 despite a significant decline in the U.S. housing sector and residential mortgage refinancings, and lower growth in U.S. consumer spending affecting asset-backed issuance. In global corporate finance, we expect to see moderate overall revenue growth in 2003 despite low business investment and mergers and acquisitions activity in the U.S. In the U.S. public finance sector, issuers will likely continue to rely on public debt to fund their budgets as tax receipts remain weak. Nevertheless, because of an expected decline in refinancing activity, our outlook for public finance revenue is modestly lower in 2003. We also expect a continuation of the strong growth in the research business. Finally, we expect healthy growth in the Moody's KMV business.

Moody's expenses for 2003 will likely reflect continued investment spending on enhanced ratings practices, technology initiatives and product development and continued hiring to support growth areas of the business. Moody's expects a slight decline in the operating margin in 2003 compared to the very high margin level in 2002.

Overall for 2003, Moody's expects that percent revenue growth will be in the mid-to-high single digits on a pro forma basis, as if KMV had been acquired at the beginning of 2002. On a reported basis, we expect that percent revenue growth will be in the high single digits. With the impact of a lower effective tax rate and share repurchases, we expect that diluted earnings per share will grow in the low double digits on a reported basis before the impact of expensing stock options, which is expected to be approximately $0.04 per share.

Moody's Corporation (NYSE:MCO) is the parent company of Moody's Investors Service, a leading provider of credit ratings, research and analysis covering debt instruments and securities in the global capital markets, and Moody's KMV, a credit risk management technology firm serving the world's largest financial institutions. The corporation reported revenue of $1,023 million in 2002. Further information is available at www.moodys.com.

"Safe Harbor" Statement under the Private Securities Litigation Reform Act of 1995

The statements contained in the "Outlook for Full Year 2003" section of this release are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. The forward-looking statements and other information are made as of February 4, 2003, and the Company disclaims any duty to supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, the Company is identifying certain factors that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors include, but are not limited to, changes in the volume of debt securities issued in domestic and/or global capital markets; changes in interest rates and other volatility in the financial markets; possible loss of market share through competition; introduction of competing products or technologies by other companies; pricing pressures from competitors and/or customers; the potential emergence of government-sponsored credit rating agencies; proposed U.S., foreign, state and local legislation and regulations, including those relating to nationally recognized statistical rating organizations; the possible loss of key employees to investment or commercial banks or elsewhere and related compensation cost pressures; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; the ability of the Company to successfully integrate the KMV and MRMS businesses; a decline in the demand for credit risk management tools by financial institutions; and other risk factors as discussed in the Company's Annual Report on Form 10-K for the year ended December 31, 2001 and in other filings made by the Company from time to time with the Securities and Exchange Commission.

Moody's Corporation
Consolidated Statements of Operations
(Unaudited)

Amounts in millions, except per share amounts	Three Months Ended December 31, 2002	Three Months Ended December 31, 2001	Year Ended December 31, 2002	Year Ended December 31, 2001
Revenue	$271.9	$220.9	$1,023.3	$796.7
Expenses:				
Operating, selling, general and administrative expenses	135.7	105.4	460.6	381.2
Depreciation and amortization	7.2	4.5	24.6	17.0
Total expenses	142.9	109.9	485.2	398.2
Operating income	129.0	111.0	538.1	398.5
Interest and other non-operating expense, net	(4.2)	(5.1)	(20.7)	(16.6)
Income before provision for income taxes	124.8	105.9	517.4	381.9
Provision for income taxes	55.0	47.1	228.5	169.7
Net income	$69.8	$58.8	$288.9	$212.2

Earnings per share				
Basic	$0.46	$0.38	$1.88	$1.35
Diluted	$0.45	$0.37	$1.83	$1.32
Weighted average number of shares outstanding				
Basic	150.7	155.1	153.9	157.6
Diluted	154.4	158.0	157.5	160.2

Moody's Corporation
Supplemental Revenue Information
(Unaudited)

	Three Months Ended December 31,		Year Ended December 31,	
Amounts in millions	2002	2001	2002	2001
Ratings and Research:				
Structured finance	$103.3	$79.4	$381.2	$273.8
Corporate finance	53.9	56.5	228.4	225.7
Financial institutions and sovereign risk	37.1	36.0	157.4	130.7
Public finance	22.5	18.0	81.2	64.2
Total ratings revenue	216.8	189.9	848.2	694.4
Research	25.6	19.5	93.6	71.5
Total Ratings and Research Revenue	242.4	209.4	941.8	765.9
Moody's KMV	29.5	11.5	81.5	30.8
Total revenue	$271.9	$220.9	$1,023.3	$796.7
Revenue by geographic area:				
United States	$175.4	$148.2	$680.3	$560.7
International	96.5	72.7	343.0	236.0
Total revenue	$271.9	$220.9	$1,023.3	$796.7

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